

## HR POLICY HANDBOOK

*Enterprise HR Policy Assistant Demo Document*

Version 1.0

Effective Date: January 1, 2026

### **1. Introduction**

Welcome to Apex Innovations Pvt. Ltd.

This Employee Handbook outlines the policies, benefits, leave entitlements, workplace expectations, and employee support programs available to all employees. These policies are intended to provide transparency and consistency across the organization.

**Purpose of the Handbook**

The handbook serves as a single source of truth for employment-related matters. It helps employees understand their rights, responsibilities, and the resources available to them. It also ensures managers apply policies uniformly across all departments.

**Scope and Application**

These policies apply to all employees, regardless of employment category, location, or tenure, unless specifically exempted by a policy section. Independent contractors, consultants, and temporary agency staff are not covered by this handbook but receive separate terms of engagement.

**Amendments and Updates**

All employees are expected to familiarize themselves with the contents of this handbook. The Human Resources department reserves the right to modify policies as business requirements evolve. Employees will receive written notification of material changes at least 30 days before the effective date, except in cases of legal compliance or emergency safety measures.

**Acknowledgment of Receipt**

All new hires must sign an acknowledgment form confirming they have received, read, and agree to comply with this handbook. A digital copy is permanently available on the company intranet.

### **2. Employment Categories**

Employees are classified into the following categories. Classification determines eligibility for specific benefits, leave types, and company programs.

**Full-Time Employees**

Employees working a minimum of 40 hours per week on a permanent basis. Full-time employees receive the full suite of benefits, including annual leave, sick leave, medical insurance, learning budgets, and retirement contributions where applicable.

**Part-Time Employees**

Employees working fewer than 40 hours per week but regularly scheduled for at least 20 hours. Part-time employees receive pro-rated benefits based on their scheduled hours, including sick leave, medical insurance (if working 25+ hours per week), and learning budgets.

**Contract Employees**

Individuals engaged for a fixed duration under a contractual agreement. Contract employees receive only the benefits explicitly stated in their individual contract. They are not eligible for annual leave, maternity/paternity leave, or long-term disability coverage unless contractually specified.

**Probationary Employees**

New hires undergo a probation period of six months unless otherwise specified.

Probationary employees receive restricted benefits as detailed in Section 3 (Probation Policy).

#### Interns and Apprentices

Individuals engaged for a fixed, short-term learning period (typically 3–6 months). Interns receive stipends, accident insurance, and sick leave as per local statutory requirements but are not covered under annual leave, medical insurance, or learning development budgets.

#### Temporary Employees

Employees hired for a specific project or seasonal demand for less than six months. Temporary employees receive only statutory benefits (e.g., national mandated sick leave) and are not eligible for discretionary company benefits.

Important: Certain benefits and leave entitlements may vary depending on employment classification. Employees with questions about their classification should contact HR.

### **3. Probation Policy**

All newly hired full-time employees are placed on probation for six months. Part-time employees (20+ hours/week) also undergo a three-month probation period. Contract employees and interns are not subject to this probation policy unless stated otherwise in their agreement.

During the probation period:

- Performance reviews are conducted monthly. Each review is documented and shared with the employee.
- Sick leave is available in full (12 days annually, pro-rated if joining mid-year).
- Annual leave is not available. Probationary employees requesting time off must take unpaid leave.
- Unpaid leave may be requested with manager approval, limited to 5 working days total during probation.
- Remote work privileges require approval from the department head and are limited to 1 day per week.
- Medical insurance coverage begins immediately but excludes pre-existing conditions for the first 90 days.

#### Probation Extension

If performance or cultural fit is unsatisfactory, the company may extend probation by up to three additional months. Extension requires written notice to the employee at least 10 working days before the original end date.

#### Early Confirmation

Exceptional performance may result in early confirmation of employment after a minimum of four months, subject to department head and HR approval.

#### Termination During Probation

Either party may terminate employment during probation with 7 days' written notice (or payment in lieu of notice). No separation benefits are payable.

#### Post-Probation Benefits

Upon successful completion of probation, employees become eligible for all standard company benefits, including annual leave, learning budget access, full remote work privileges, and parental leaves.

### **4. Annual Leave Policy**

Annual Leave is intended to provide employees with paid time off for rest, travel, and personal activities. It cannot be used as a substitute for sick leave or bereavement leave.

### Eligibility

Employees become eligible for annual leave after successfully completing probation. Part-time employees receive pro-rated annual leave based on their weekly scheduled hours relative to 40 hours.

### Entitlement (Full-Time Employees)

| Years of Service  | Annual Leave Days |
|-------------------|-------------------|
| Less than 3 years | 18 days per year  |
| 3 to 7 years      | 24 days per year  |
| More than 7 years | 30 days per year  |

### Part-Time Pro-Rata Calculation

$(\text{Weekly scheduled hours} \div 40) \times \text{applicable annual leave days}$ . Example: A part-time employee working 20 hours/week with 18 days entitlement receives  $(20 \div 40) \times 18 = 9$  days per year.

### Carry Forward

Employees may carry forward a maximum of 10 unused annual leave days into the next calendar year. Any unused leave exceeding 10 days will automatically lapse on December 31. Carried-forward days must be used by March 31 of the following year, after which they also lapse.

### Approval Process

- Leave requests should be submitted at least seven days before the intended leave date.
- Requests for leave of 10 or more consecutive working days require 15 days' notice.
- Managers may decline leave requests during critical business periods (e.g., financial year-end, major product launches, audit periods).
- No more than two employees from the same team may be on annual leave simultaneously unless exceptional approval is given.

### Leave Encashment on Separation

Upon resignation or termination, accrued but unused annual leave (up to the 10-day carry-forward limit) is paid out as part of the final settlement. Leave beyond 10 days is not paid.

### Public Holidays

Public holidays are listed separately on the company calendar. If a public holiday falls during annual leave, the annual leave day is not consumed (i.e., the holiday is credited back).

## 5. Sick Leave Policy

Sick Leave is provided to support employee health and well-being. It is intended for personal illness, injury, or medical appointments that cannot be scheduled outside working hours.

### Entitlement

All employees, including probationary employees, are entitled to 12 days of paid sick leave annually. Part-time employees receive 12 days as well (statutory minimum) regardless of hours.

### Accrual and Reset

Sick leave is granted in full at the start of each calendar year. Unused sick leave does not carry forward. New hires receive a pro-rated entitlement based on remaining months in the year.

### Medical Documentation

Employees must provide a medical certificate (from a registered medical practitioner) if:

- Sick leave exceeds three consecutive working days, or
- Sick leave is taken immediately before or after a public holiday or annual leave, or
- The employee has taken four or more separate sick leave instances within a rolling 90-day period.

### Extended Illness

Employees requiring more than 30 consecutive days of medical leave may be evaluated for short-term disability benefits. The company will coordinate with its insurance provider. After 30 days, a return-to-work medical clearance is required.

### Caregiver Sick Leave

Up to 3 of the 12 annual sick leave days may be used to care for an immediate family member (spouse, child, parent) with a verified illness. Documentation of the family member's medical condition is required.

### Abuse of Sick Leave

Repeated misuse of sick leave (e.g., submitting false medical certificates, taking sick leave on days when annual leave was previously denied, or pattern of Monday/Friday sick leave) may result in disciplinary action, up to and including termination.

### Return to Work After Prolonged Illness

For absences of 10 or more consecutive days, employees must meet with HR and their manager to review any workplace accommodations needed before resuming duties.

## 6. Bereavement Leave Policy

Bereavement Leave supports employees during the loss of an immediate family member. It is intended for attendance at funerals, managing estate matters, and grief recovery.

### Eligibility and Entitlement

Entitlement depends on employee tenure at the time of the death:

| Tenure                      | Paid Bereavement Days |
|-----------------------------|-----------------------|
| Less than 1 year of service | 3 paid working days   |
| 1 year or more of service   | 5 paid working days   |

### Immediate Family Definition

Immediate family includes:

- Spouse (including legally recognized same-sex partner)
- Parent (including stepparent, legal guardian, parent-in-law)
- Child (including stepchild, adopted child, foster child)
- Sibling (including stepsibling, sibling-in-law)
- Grandparent (including grandparent-in-law)
- Grandchild

#### Extended Family Bereavement

For the death of an aunt, uncle, niece, nephew, or cousin, employees may take 1 paid day if they need to attend funeral services. This day is drawn from annual leave or unpaid leave if annual leave is unavailable.

#### Travel Consideration

If the funeral or related proceedings require travel to another city or country, the employee may request up to 2 additional unpaid days. Managers approve such requests on a case-by-case basis.

#### Documentation

The company may request reasonable documentation (e.g., obituary, death certificate, funeral program) for any bereavement leave exceeding the standard entitlement.

#### Unpaid Bereavement Extension

Additional unpaid leave may be approved at management discretion, typically for up to 10 additional working days. The employee may use accrued annual leave to cover this period if preferred.

### **7. Maternity Leave Policy**

The company is committed to supporting employees during pregnancy, childbirth, and the postnatal period.

#### Eligibility

Employees become eligible for maternity leave after completing six months of continuous service. Both full-time and part-time employees who meet this threshold are eligible.

Surrogacy and adoption are covered under a separate Adoption Leave Policy (see Section 7.1 below).

#### Entitlement

Eligible employees are entitled to 26 weeks of paid maternity leave. This may commence up to 8 weeks before the expected delivery date. The remaining 18 weeks must be taken after delivery.

#### Multiple Births

In the case of twins or higher-order multiples, maternity leave is extended to 32 weeks.

#### Adoption Leave (Maternity Equivalent)

Primary adoptive parents (child under 1 year of age) receive 12 weeks of paid leave after the child is placed with them.

#### Additional Benefits During Maternity Leave

Employees on maternity leave continue receiving:

- Medical insurance coverage (including newborn baby from birth)
- All employment benefits (e.g., communication allowances, meal coupons)
- Full service continuity for seniority and future leave accruals
- Pension/retirement contributions as per statutory requirements

#### Flexible Return Program

Employees returning from maternity leave may request:

- Hybrid work arrangements (e.g., 3 days in office, 2 days remote) for up to 6 months
- Flexible schedules (e.g., 10 AM – 4 PM core hours with adjusted start/end times)
- Reduced hours (e.g., 30 hours/week with pro-rated pay) for up to 3 months

Requests are subject to manager approval and business needs. Denials must be provided in writing with an explanation and an alternative accommodation offer.

#### Right to Return

The company guarantees return to the same or a comparable position (same rank, pay, and location) following maternity leave.

### **8. Paternity Leave Policy**

The company recognizes the importance of parental involvement for all parents, regardless of gender.

#### Eligibility

Employees become eligible after six months of continuous service. Paternity leave applies to biological fathers, same-sex partners of the birthing parent, and secondary adoptive parents.

#### Entitlement

Eligible employees are entitled to 10 working days of paid paternity leave.

#### Usage Window

Paternity leave must be used within six months of the child's birth or adoption. Leave can be taken as:

- Full consecutive 10 days, or
- Broken into separate blocks (minimum 2 days per block) with manager approval.

#### Interaction with Annual Leave

Unused paternity leave cannot be carried forward, converted to cash, or exchanged for annual leave. Employees may combine paternity leave with annual leave to extend time off, but total combined leave may not exceed 20 consecutive working days without prior VP approval.

#### Documentation

Employees must provide either:

- Birth certificate, or
- Hospital discharge summary naming the employee as parent, or
- Legal adoption placement documents.

#### Stillbirth and Miscarriage

In the event of stillbirth after 28 weeks of pregnancy, the employee remains eligible for full paternity leave. For earlier pregnancy loss, employees may instead use bereavement leave or sick leave as appropriate.

### **9. Work From Home Policy**

The company supports flexible work arrangements where operationally feasible.

#### Eligibility

Employees who have completed probation may apply for remote work. Certain roles (e.g., IT security, lab technicians, reception) are designated as fully onsite due to job requirements; those roles are not eligible for remote work.

#### Standard Remote Work Allowance

Eligible employees may work remotely up to 3 days per week. The remaining days must be worked from the designated company office unless otherwise approved.

#### Remote Work Application Process

1. Employee submits a written request to their manager (template available on intranet).
2. Manager reviews within 5 working days, considering team coverage and role suitability.
3. HR approves the formal remote work agreement, which specifies duration (renewable annually) and any special conditions.

#### Remote Work Expectations

Employees working remotely must:

- Remain available during core business hours (10:00 AM – 4:00 PM local time) via Slack, email, or phone.
- Maintain stable internet connectivity (minimum 20 Mbps download / 5 Mbps upload recommended).
- Attend all required meetings, including video-on participation.
- Log working hours via the company time-tracking system.
- Have a dedicated, distraction-free workspace that meets basic health and safety standards.

#### Equipment and Reimbursement

The company provides a laptop and VPN access. Employees are responsible for their own internet and secondary monitor. A monthly home office allowance of ₹1,500 is available for eligible remote workers.

#### Revocation of Privilege

The company reserves the right to revoke remote work privileges if:

- Performance standards are not met (e.g., missed deadlines, low responsiveness).
  - The employee is found to be working from an unapproved location.
  - Business needs change (e.g., new client requirement for onsite presence).
- Revocation requires 15 days' written notice unless due to serious misconduct.

#### Temporary Remote Work (Ad Hoc)

Employees may request up to 5 remote working days per year for exceptional reasons (e.g., home repair, dependent care emergency) without applying for the full remote work program. Manager approval is required 48 hours in advance.

### **10. Medical Insurance Policy**

The company provides comprehensive medical insurance coverage to protect employee health and financial security.

#### Coverage

Medical insurance includes:

- Hospitalization (room rent, ICU, nursing charges)
- Emergency treatment (accident and acute illness)
- Specialist consultations (inpatient and outpatient referrals)
- Prescription medication (up to ₹10,000 per year for chronic conditions)
- Pre-hospitalization (30 days before admission) and post-hospitalization (60 days after discharge) expenses
- Maternity and newborn care (delivery, postnatal, vaccinations up to 1 year)

## Dependents

Coverage extends to:

- Employee
- Spouse (including legally recognized partner)
- Up to two dependent children (under 25 years of age if in full-time education; otherwise under 21)
- Dependent parents (optional at employee's additional premium cost)

## Eligibility

Coverage begins immediately upon joining for full-time employees. Part-time employees working 25+ hours per week receive coverage after 3 months of continuous service.

## Annual Limits

- Base coverage: ₹5,00,000 per family per policy year
- Voluntary top-up: Employees may purchase additional ₹5,00,000 coverage via payroll deduction (₹600/month)

## Claim Process

- Cashless treatment: Available at network hospitals by presenting insurance e-card.
- Reimbursement: Submit original bills within 15 days of discharge for non-network hospitals. Claims are processed within 10 working days.

## Exclusions

The policy does not cover: cosmetic surgery (unless reconstructive after accident), fertility treatments, weight loss surgery, dental treatment (except accident-related), or alternative medicine unless medically prescribed.

## Continuation on Separation

Employees leaving the company may convert their policy to an individual plan within 30 days of separation without medical underwriting, at their own cost.

## **11. Learning and Development Policy**

The company encourages continuous professional growth and skill enhancement.

## Annual Learning Budget

Each full-time employee receives ₹25,000 annually for approved learning programs.

Part-time employees receive ₹10,000 annually (pro-rated if hired mid-year).

## Eligible Activities (Non-Exhaustive List)

- Technical certifications (AWS, PMP, Microsoft, Cisco, etc.)
- Professional workshops (leadership, communication, data analytics)
- Industry conferences (registration fees only; travel covered under Section 12)
- Online learning platforms (Coursera, Udemy Business, LinkedIn Learning)
- University short courses (not degree programs)
- Language training (if required for client work)

## Approval Process

Manager approval is required before enrollment. Employees submit a brief business case (how the learning benefits current role or team). Approval decisions are provided within 7 working days.



## Reimbursement Terms

- Upon completion: Submit certificate of completion and invoice.
- Reimbursement within 15 working days.
- For certifications: If the employee leaves within 12 months of reimbursement, 50% of the cost must be repaid to the company.

## Non-Reimbursable Items

- Degree programs (Bachelor's, Master's, MBA, PhD)
- Textbooks (unless part of a certified course)
- Travel to conferences (covered separately under Travel Policy)
- Coaching for personal rather than professional skills

## Learning Time

Employees may use up to 5% of their working hours (approx. 2 hours per week) for approved learning activities during normal business hours, provided core duties are not affected.

## Unused Budget

Unused learning budget does not carry forward. Managers are encouraged to help employees identify relevant programs before year end.

## **12. Travel Reimbursement Policy**

Employees traveling for approved business purposes may claim reimbursement for reasonable, actual expenses.

## Covered Expenses

- Airfare: Economy class only. Business class requires VP approval.
- Hotel accommodation: Standard business hotels (3–4 star). Room rate limit: ₹8,000/night in metro cities, ₹5,000/night elsewhere.
- Ground transportation: Taxi, ride-share, train (first class or AC), rental car (economy). Personal vehicle mileage: ₹12/km.
- Meals: Up to ₹2,000/day (breakfast ₹400, lunch ₹800, dinner ₹800). Alcohol not reimbursed.
- Miscellaneous: Airport transfers, baggage fees, work-related phone calls, visa fees.

## Expense Submission

Claims must be submitted within 30 calendar days of travel completion using the company expense portal. Receipts are required for all expenses exceeding ₹500. Missing receipts result in denial of that line item.

## Approval Workflow

- Employee submits expense report with scanned receipts.
- Manager approves within 5 working days.
- Finance processes reimbursement within 15 working days via payroll.

## Advance Travel Funds

Employees may request a travel advance up to 80% of estimated expenses, submitted at least 10 working days before departure. Unused advances must be returned within 15 days of travel completion.

## Non-Reimbursable Items

- Personal entertainment (movies, mini-bar, spa, gym)
- Parking or traffic fines
- Hotel upgrades beyond standard room
- Travel insurance (employee must purchase separately if desired)

## International Travel

Additional approvals required for international business travel: department head + finance controller. Per diems are provided based on destination (World Bank rates).

### **13. Performance Review Policy**

Employee performance reviews occur twice annually to provide structured feedback and career development.

#### Review Periods

- Mid-Year Review: June 1 – June 30 (covers performance from January to May)
- Annual Review: December 1 – December 20 (covers full calendar year, influences compensation)

#### Process Steps

1. Self-assessment: Employee completes a standard form (goals, achievements, challenges).
2. Manager assessment: Manager evaluates against same criteria.
3. Calibration meeting: Department heads align ratings across teams.
4. Feedback session: Manager meets with employee to discuss outcomes (30–45 minutes).
5. Sign-off: Both parties sign the final review document, which is placed in the employee's HR file.

#### Evaluation Criteria

Employees are evaluated on:

- Performance objectives (60% weighting): achievement of SMART goals set at start of period.
- Team collaboration (20% weighting): peer feedback, knowledge sharing, conflict resolution.
- Professional conduct (10% weighting): adherence to Code of Conduct, attendance, integrity.
- Skill development (10% weighting): progress on learning plan, new competencies.

#### Performance Ratings

- Exceptional (5/5): Consistently exceeds targets, demonstrates leadership.
- Exceeds Expectations (4/5): Frequently exceeds targets.
- Meets Expectations (3/5): Fully competent, achieves all core targets.
- Needs Improvement (2/5): Inconsistent, fails some targets.
- Unsatisfactory (1/5): Significant gaps, requires performance improvement plan (PIP).

## Consequences of Ratings

- Promotions: Minimum 2 consecutive “Exceeds Expectations” ratings required.
- Compensation adjustments: “Meets Expectations” = cost-of-living increase (3–5%). “Exceeds” = 6–8% merit increase. “Exceptional” = 10–12% plus bonus.
- Bonus eligibility: Only employees rated “Meets Expectations” or higher receive annual discretionary bonus (up to 15% of salary).
- Performance Improvement Plan (PIP): Employees rated “Needs Improvement” or “Unsatisfactory” enter a 90-day PIP. Failure to improve results in termination.

## Peer and 360-Degree Feedback

Employees may request anonymous peer feedback during review periods. For managers, direct reports provide input on leadership and communication.

### **14. Code of Conduct**

Employees are expected to maintain professionalism, integrity, and respect at all times, both in the workplace and when representing the company externally.

#### Core Principles

- Honesty: No falsification of records, timesheets, expense claims, or communications.
- Respect: Treat all colleagues, clients, and vendors with dignity regardless of role, background, or beliefs.
- Confidentiality: Protect proprietary, financial, and personal data as per the Information Security Policy.
- Compliance: Obey all applicable laws (anti-corruption, data privacy, labor, tax).
- Loyalty: Avoid conflicts of interest; disclose any outside employment or financial interests.

#### Examples of Misconduct (Non-Exhaustive)

- Harassment: Any unwelcome conduct (verbal, physical, written, digital) based on race, gender, religion, age, disability, sexual orientation, or any other protected characteristic.
- Discrimination: Unequal treatment in hiring, promotion, assignment, or termination.
- Workplace violence: Physical altercations, threats, intimidation, or possession of weapons.
- Data misuse: Unauthorized access, sharing, or deletion of company or employee data.
- Fraudulent activity: Embezzlement, kickbacks, invoice manipulation, impersonation.
- Substance abuse: Being under the influence of illegal drugs or alcohol during work hours (exception: approved company events with moderate drinking).
- Time theft: Clocking in/out for another employee, falsifying attendance, working unauthorized second jobs during scheduled hours.

## Reporting Violations

Employees must report suspected violations to their manager, HR, or via the anonymous Ethics Hotline (third-party service, available 24/7). Retaliation against any employee who reports in good faith is a separate, terminable offense.

## Investigation and Discipline

All reports are investigated promptly and confidentially. If a violation is substantiated, disciplinary action may include:

- Verbal warning (documented)
- Written warning
- Suspension without pay (up to 10 days)
- Demotion or forfeiture of bonus
- Termination of employment

## At-Will Employment Statement

Nothing in this Code of Conduct creates an employment contract. Employment at Apex Innovations Pvt. Ltd. is at-will, meaning either party may terminate the relationship at any time, with or without cause or notice, subject only to local statutory requirements.

## 15. Contact Information

For policy clarification, questions, or confidential concerns, employees may contact:

Human Resources Department

Email: [hr@apexinnovations.com](mailto:hr@apexinnovations.com)

Phone: +91-80-4123-6789 (extension 210 for general inquiries, 211 for benefits, 212 for grievances)

### Business Hours

Monday to Friday, 9:00 AM – 6:00 PM local time (excluding public holidays).

Outside these hours, leave a voicemail or send an email; responses are provided within one business day.

### Physical Location for HR Walk-ins

Apex Innovations Pvt. Ltd., 7th Floor, Orchid Tech Park,  
Sarjapur Road, Bengaluru – 560103, India

### Ethics Hotline (Anonymous)

Toll-free: 1800-123-6777 (available 24/7, independent third-party operator)

Online portal: <https://apexinnovations.ethicshotline.com> (access code: APEXETHICS)

### Emergency Contact (Security / Office Facilities)

During working hours: +91-80-4123-6700 (Security Desk)

After hours (medical or safety emergency only): +91-98765-43210 (Duty Manager)